STRATEGIC BUSINESS MANAGEMENT & LEADERSHIP

Suggested Answers
May 2026

Answer to Question# 1:

(a)

(i) How can the Port remain competitive amid global shipping alliances and upgraded regional ports? (3 marks)

- **Modernise infrastructure** by expanding berths, automating cargo handling and reducing vessel turnaround time.
- **Improve hinterland connectivity** through greater use of rail and inland waterways to reduce road congestion.
- **Develop a green and digital port** by adopting paperless systems, renewable energy and facilities capable of handling larger vessels.

(ii) What are the key risks and opportunities of using PPPs to modernise port infrastructure while protecting public interests? (3 marks)

Opportunities

- Access to private investment, technology and international expertise.
- Improved efficiency and faster project implementation.

Risks

- Higher user charges, profit-driven decisions and possible monopoly power.

Protecting public interest

- Use strong concession agreements with KPIs, tariff regulation and regular government oversight.

(iii) List five KPIs both grantor and operator would use to measure performance. (4 marks)

- Vessel turnaround time.
- Container throughput (TEUs handled).
- Berth occupancy rate.
- Cargo dwell time.
- Equipment/crane productivity.

(b)

(i) Analyse the forces for and against the change at Bitr Holdings Ltd. (4 marks)

Driving forces

- Poor profitability and high operating costs.
- Increased competition and changing customer expectations.
- Need for integrated ERP and better decision-making.
- Increasing regulatory requirements.

Restraining forces

- Resistance from long-serving managers.
- Dependence on manual systems and lack of digital skills.
- High implementation cost and disruption.
- Fear of change and job insecurity.

(ii) Recommend how Mr. Hoque should manage the change process. (6 marks)

Using Kotter's Eight-Step Change Model:

- Create urgency by explaining the need for change.
- Build a guiding team with support from senior managers.
- Communicate a clear vision of the ERP transformation.
- Train and involve employees to reduce resistance.
- Deliver quick wins through phased implementation.
- Reinforce the change by monitoring KPIs and rewarding desired behaviours.

Answer to Question# 2(a)(i):

(i) Identify and explain the business risks facing Bangla Airlines. (7 marks)

1. **Aircraft reliability risk** – A 15-year-old leased aircraft may suffer more breakdowns, affecting schedules and costs.

2. **Operational disruption risk** – Mandatory engine overhauls every three years will ground the aircraft, disrupting services.
3. **Customer satisfaction risk** – Poor food quality, especially on return flights, may damage the airline's reputation.
4. **Overbooking risk** – Overbooking economy seats may lead to customer dissatisfaction and compensation costs.
5. **Dependence on third parties** – Catering, pilots and aircraft are outsourced, reducing direct control over service quality.
6. **Demand risk** – Low demand for Business Class may reduce profitability.
7. **Insurance and safety risk** – Accidents or incidents could result in significant financial losses and reputational damage despite insurance.

(ii) How can these risks be managed? (7 marks)

1. **Regular maintenance** and timely engine overhauls to ensure aircraft reliability.
2. **Arrange replacement aircraft** during overhaul periods to maintain flight schedules.
3. **Monitor catering quality** through service level agreements and passenger feedback.
4. **Improve booking controls** to minimise overbooking and compensate affected passengers promptly.
5. **Manage suppliers** through performance reviews and contractual service standards.
6. **Review pricing and marketing** to improve Business Class occupancy.
7. **Maintain comprehensive insurance, safety training and emergency procedures** to reduce operational and financial risks.

2(b)

Critically analyse the strategic exit decision and the underlying key reasons. (4 marks)

1. **Intense competition** from established competitors with stronger market presence made it difficult to gain market share.
2. **Unsustainable business model**, relying on heavy discounts, marketing expenditure and high delivery costs, reduced profitability.
3. **Lack of competitive advantage**, as the company failed to differentiate its services and build customer loyalty.
4. **Strategic withdrawal** was appropriate because continuing operations would likely increase losses. Resources can now be redirected to more profitable markets where the group has stronger growth prospects.

Answer to Question# 3(a):

(i) MGH products are becoming expensive due to exchange rate volatility. (2 marks)
Economic (Operating) Risk

- Exchange rate movements increase import costs, making MGH's products more expensive and less competitive.
- This may reduce sales and long-term profitability.

(ii) Foreign suppliers grant MGH 90–120 days' credit. (2 marks)
Transaction Risk

- The USD exchange rate may change before payment is made.
- A weaker BDT increases the amount payable in local currency.

(iii) Consolidating the Sri Lanka subsidiary's financial statements. (2 marks)
Translation (Accounting) Risk

- Assets, liabilities and profits of the subsidiary must be translated into BDT.
- Exchange rate movements may affect reported profits and net assets.

3(b)

(i) How could the option to delay and switch influence the investment decision? (4 marks)
Option to delay (2 marks)

- The company can wait for greater certainty on subsidies, tariffs and energy prices before investing.
- Delaying may avoid investing under unfavourable conditions and improve project value.

Option to switch (redeploy) (2 marks)

- The plant can switch between solar and hybrid generation depending on market conditions.
- This flexibility reduces downside risk and improves future cash flows, increasing the project's value.

(ii) Do you support the CEO's statement? (2 marks)
Yes.

- Traditional DCF ignores managerial flexibility.
- Real options such as delaying, expanding, abandoning or switching can create additional value, so a project with a negative NPV today may still be strategically worthwhile.

3(c)
Discuss the impact of geopolitical tensions on the global financial system. (4 marks)

- **Higher energy prices** increase inflation and production costs worldwide.
- **Higher interest rates** reduce investment, borrowing and economic growth.
- **Supply chain disruptions** increase business costs and reduce international trade.
- **Financial market volatility** lowers investor confidence, increases uncertainty and raises the risk of a global financial crisis and stagflation.

Answer to Question# 4(a)(i):

Multilateral netting off – Tasnia Global:

To apply multilateral netting, we require to convert all balances into BDT and then compute each entity's net position.

Step 1: Convert all balances into BDT

Using given rates: USD 1 = BDT 112, CNY 1 = BDT 15.50 and AED 1 = BDT 30.50

Debtor	Creditor	Amount	Conversion	BDT Value (mn)
CN	ID	420,000 USD	×112	47.04
CN	AE	900,000 AED	×30.5	27.45
ID	QA	310,000 USD	×112	34.72
AE	CN	2,800,000 CNY	×15.5	43.4
QA	AE	650,000 AED	×30.5	19.83
ID	CN	1,900,000 CNY	×15.5	29.45
AE	ID	150,000 USD	×112	16.8

Step 2: Calculate net position of each subsidiary

i. China (CN)

- Payable: 47.04 (to ID) + 27.45 (to AE) = 74.49
- Receivable: 43.40 (from AE) + 29.45 (from ID) = 72.85

Net payable = 74.49 – 72.85 = 1.64 mn

ii. Indonesia (ID)

- Payable: 34.72 (to QA) + 29.45 (to CN) = 64.17
- Receivable: 47.04 (from CN) + 16.80 (from AE) = 63.84

Net payable = 0.33 mn

iii. UAE (AE)

- Payable: 43.40 (to CN) + 16.80 (to ID) = 60.20
- Receivable: 27.45 (from CN) + 19.83 (from QA) = 47.28

Net payable = 12.92 mn

iv. Qatar (QA)

- Payable: 19.83 (to AE)

- Receivable: 34.72 (from ID)

Net receivable = 14.89 mn

Step 3: Final net positions (BDT mn)

Subsidiary	**Net position**
CN	1.64 Payable
ID	0.33 Payable
AE	12.92 Payable
QA	14.89 Receivable

Total Payables = 1.64 mn + 0.33 mn + 12.92 mn = 14.89 mn equals total receivables = 14.89 mn After multilateral netting - CN, ID, AE are net payers while QA is the sole net receiver (BDT 14.89 mn)

Answer to Question# 4(a)(ii):

Netting off allowability in Bangladesh

Under foreign exchange regulations in Bangladesh, payment netting off is generally not allowed without prior approval from the Bangladesh Bank. All export and import transactions are normally required to be settled separately through authorized banking channels to ensure transparency and proper monitoring of foreign currency flows.

Possible solution:

Every payment to non-resident and receipt from abroad attracts tax deducted at source (TDS) and VAT Deducted at Source (VDS) (as applicable specific to the transactions) which is binding and must be obeyed. So accordingly, the Company may deduct and deposit the applicable tax and VAT then adjust the remaining amount with the remaining balances (receivable/payables).

Also, a firm can apply for special approval from Bangladesh Bank to allow netting arrangements in specific cases (e.g., transactions with the same counterparty).

Netting off is restricted, but firms can seek central bank approval or structure transactions through banks to stay compliant.

Answer to Question# 4(b):

Option forward exchange contracts

Option forward contracts are forward exchange contracts where the customer has the option to call for performance of the contract - at any date up to a specified date in the future, or at any date between two dates both in the future, which must take place at some time.

If a party cannot satisfy a forward contract – key actions

A customer (exporter and importer) might be unable to satisfy a forward contract for any legitimate reasons (supplier failure, fewer goods delivery or late with the delivery, etc)

<u>Close-out of forward contracts</u>

If a customer cannot satisfy a forward exchange contract, the bank will make the customer fulfil the contract.

- If the customer has arranged for the bank to buy currency but the customer is unable to deliver the currency, the bank will:
  - – Sell currency to the customer at the spot rate (when the contract falls due for performance)
  - – Buy the currency back, under the terms of the forward exchange contract
- If the customer has contracted for the bank to sell him currency which the customer no longer needs, the bank will:
  - – Sell the customer the specified amount of currency at the forward exchange rate
  - – Buy back the unwanted currency at the spot rate

Thus, the bank arranges for the customer to perform his part of the forward exchange contract by either selling or buying the 'missing' currency at the spot rate.

These arrangements are known as closing out a forward exchange contract.

Answer to Question# 4(c):

There are several direct risk reduction methods a company can adopt to mitigate currency exposure

Invoice in local currency
One way of avoiding exchange risk is for an exporter to invoice his foreign customer in his domestic currency, or for an importer to arrange with his foreign supplier to be invoiced in his domestic currency.

Matching receipts and payments
A company can reduce or eliminate its foreign exchange transaction exposure by matching (or netting off) receipts and payments, planning to offset its payments against its receipts in the currency.
Since the company will be setting off foreign currency receipts against foreign currency payments, it does not matter whether the currency strengthens or weakens against the company's 'domestic' currency because there will be no purchase or sale of the currency.

Matching assets and liabilities
A company expecting foreign currency income can hedge exchange risk by borrowing in the same currency and using the receipts to repay the loan.

- Example: USD receivables hedged with a USD loan/overdraft.
- Similarly, foreign currency payables can be settled using funds held in the same currency.

For long-term investments (e.g., overseas subsidiaries), companies match foreign assets with long-term debt in the same currency.

Leads and lags
Companies might try to use:

- Lead payments (payments in advance)
- Lagged payments (delaying payments beyond their due date)

in order to take advantage of foreign exchange rate movements. With a lead payment, paying in advance of the due date, there is a finance cost to consider. This is the interest cost on the money used to make the payment, but early settlement discounts may be available.

Answer to Question# 5(a):

<u>Treatment of foreign transactions and gain or loss arising therefrom</u>
A company can have transactions that are denominated in foreign currency. These must be translated into the company's functional currency for the purpose of recording the transactions in its books of accounts and preparing its financial statements in accordance with guidelines provided in IAS 21.

Sl. No.	Items or period of translation or transaction	Applicable rates	Treatments of gain or loss
1	On initial recognition	The spot rate on the date of the transaction	No exchange difference will arise, therefore, no gain or profit.
2	Balances at the beginning of the year in statement of financial position	Opening rate	Any exchange difference should be recognized in profit or loss.
3	All items for statement of profit or loss and other comprehensive income and where the exchange rate does not fluctuate significantly over the period	Average rate	Any exchange difference should be recognized in profit or loss.
4	Exchange difference before year end	Rate ruling on the day of exchange	Exchange rate difference to be recognized in profit or loss.
5	For year end balances the following rules apply:		
	(i) Monetary items i.e current assets or current liabilities	Closing rate	Any exchange gain or loss that arises should be recognized in profit or loss.
	(ii) non-monetary items such as non-current assets, depreciation non-current liabilities	Historical rate or rate at acquisition	Therefore, no exchange difference will arise.

	(iii) non-monetary items measured at fair value	Date of determining the fair value	Gain or loss should be recognized in profit or loss and Other Comprehensive Income (OCI)

Answer to Question# 5(b):

How to account for investment property

i. Exim Bangladesh Ltd. will have to translate the investment property into its functional currency (taka) on purchase at the end of the year.

ii. The recording in the books will be as follows:

- On the initial recognition, the $1 million should be translated at the spot rate on July 1, 2024.
- At June 30, 2025, the fair value of $1.2m should be translated using closing rate at the date of determining the fair value.
- Any exchange difference arising from this property should be recognized in profit or loss.

Answer to Question# 5(c):

Accounting treatment for wholly owned subsidiary and other equity investment

The financial statements of the subsidiary together with the goodwill arising on the acquisition of the subsidiary will be treated as follows:

i**. Treatment of acquisition of wholly owned subsidiary**

- On acquisition use spot rate or the rate on the date of acquisition.
- At the year-end, on June 30 2025, use closing rate.
- Any exchange difference arising on this exercise will be recognized in other comprehensive income (OCI) and accumulated in equity through other component of equity (OCE).

ii. **Treatment of equity investment**

- The equity investment at fair value through other comprehensive income (FVOCI) will be translated at initial recognition using spot rate at the date of initial recognition – July 1, 2024.
- At June 30, 2025, the fair value of this investment will be translated using the exchange rate at the date of determining the fair value.
- Any exchange gain or loss arising from the translation will be recognized in OCI.

Answer to Question# 6(a):

Define "Force Majeure" and discuss the audit implications and additional audit procedures. (6 marks)

Force Majeure (1 mark)

A **force majeure** event is an unforeseeable event beyond the control of the parties (e.g. war, natural disaster or major fire) that prevents contractual obligations from being fulfilled and may excuse non-performance.

Audit implications and additional procedures (5 marks)

- **Assess going concern** by evaluating the impact on operations, cash flows and liquidity.
- **Review asset impairment** to determine whether damaged plants and related assets need to be written down.
- **Examine provisions and disclosures** for force majeure claims, contract penalties and contingent liabilities.
- **Review subsequent events** after the reporting date for additional evidence affecting the financial statements.
- **Obtain management's plans and evidence**, including insurance recoveries, repair plans, financing arrangements and forecast cash flows.

6(b)

(i) Audit procedures after management identifies two additional misstatements. (2 marks)

- **Verify the additional misstatements** by obtaining sufficient appropriate audit evidence and assessing whether they are valid.
- **Evaluate all misstatements together**, considering both the audit team's findings and management's identified misstatements before concluding on materiality.

(ii) Methods auditors use to evaluate uncorrected misstatements. (2 marks)

- **Quantitative assessment** – Compare the aggregate of uncorrected misstatements with overall and performance materiality.
- **Qualitative assessment** – Consider whether the nature of the misstatements affects compliance, trends, key ratios, management remuneration or users' decisions, even if the amount is below materiality.

Answer to Question# 7(a):

What are the key challenges in upholding ethics in corporate governance? (5 marks)

1. **Conflicts of interest** – Personal interests may influence management decisions.
2. **Pressure to achieve financial targets** – May encourage manipulation of financial or ESG information.
3. **Weak corporate culture** – Lack of ethical leadership can promote unethical behaviour.
4. **Inadequate internal controls and oversight** – Weak governance increases the risk of fraud and misconduct.
5. **Regulatory and stakeholder pressures** – Balancing profit objectives with legal, ethical and stakeholder expectations can be challenging.

Answer to Question# 7(b):

7(b) Identify the key ethical issues faced by the FC at KAL. (5 marks)

1. **Integrity** – Recognising revenue before control is transferred breaches IFRS 15 and results in misleading financial statements.
2. **Objectivity** – Pressure from the CFO and CEO to ignore accounting issues creates intimidation and undue influence, impairing professional judgment.
3. **Professional Competence and Due Care** – Failure to recognise or disclose the environmental obligation despite legal advice breaches IAS 37 and demonstrates non-compliance with accounting standards.
4. **Integrity and Professional Behaviour** – Approving overstated ESG information breaches honesty and may mislead investors and lenders, contrary to IFRS S2.
5. **Professional Behaviour** – The FC should escalate the matters to the Audit Committee. If management refuses to correct the misstatements, the FC should consider obtaining legal/professional advice and, if necessary, resign rather than be associated with false or misleading information.

---The End---